THE PLAIN ENGLISH GUIDE

The Rate Guide — Freelancer's Contract Pack

Read this first. It explains what each document is, when you use it, and why it matters — in plain language.

BEFORE WE START: WHY ANY OF THIS MATTERS

When you work a regular job, your company handles the paperwork. They send you a job offer. They put your hours in a system. They pay you every two weeks whether or not you remembered to send a bill.

When you're a freelancer, you are the company.

That means if you don't write down what you agreed to do, nobody does. If you don't send an invoice, nobody sends it for you. If you don't say what happens when a project gets cancelled, the answer is usually: nothing good.

These five documents are how you protect yourself. They're not complicated. They're just agreements — things both you and your client say yes to before the work starts.

Here's everything you need to know about each one.

DOCUMENT 1: THE FREELANCE SERVICES AGREEMENT

What it is: Your contract.

When you use it: Every single time you take a job.

THE SIMPLE VERSION

A contract is just a written record of what you and your client agreed to.

You agreed to do certain work. They agreed to pay you a certain amount. The contract writes that down so that later, if either of you remembers things differently, there's something to look at.

That's it. It's not scary. It's not trying to trick anyone. It's just: here's what we said, and here's both of our signatures saying we meant it.

WHAT THE CONTRACT COVERS

The job. What are you doing? A shoot day? An edit? A color grade? The contract names the project and lists exactly what you're delivering. This matters because "I'll cut the video" can mean very different things to different people. One person thinks that means a 90-second cut. Another person thinks it means five cuts in four different formats. The contract says which one it is.

The money. How much are you getting paid, and when? The contract names your day rate or your project fee, and sets a deadline for when the money is due (called payment terms).

What happens if the job gets cancelled. This is called a kill fee. More on this below.

Who owns the finished video. This is one of the most important parts. More on this below too.

Your right to show the work in your portfolio. Called reel rights.

What happens if they ask you to do more than you agreed to. Called a change order.

What kind of worker you are. Freelancer, not employee. This matters for taxes.

THE PARTS THAT MOST PEOPLE DON'T UNDERSTAND

PAYMENT TERMS

You've probably heard "Net 30" before. Here's what it means:

Net 30 means the client has 30 days from when they get your invoice to pay you. Net 15 means 15 days. Net 60 means 60 days.

Think of it like a due date on a library book. When you check out the book, the library doesn't ask for it back that same day. But they do give you a date it's due. Net 30 is the due date on your invoice.

The shorter the terms, the faster you get paid. For new clients you've never worked with before, use Net 15. For bigger companies who have formal accounting departments, Net 30 is normal.

Why it matters: Without payment terms in writing, "when do I get paid?" has no answer. Some clients will pay you in two days. Some will pay you in six months. Net 15 or Net 30 in a signed contract means there's a clear answer that both of you agreed to.

THE KILL FEE

A kill fee is money you get paid when a project gets cancelled.

Here's why this exists:

You book a job for three weeks from now. You clear your schedule. You turn down two other gigs because you're booked. You spend time on phone calls and prep. Then the client calls and says "we're going in a different direction."

You just lost three weeks of potential income. And you did real work — prep, planning, calls — that deserves to be paid for.

A kill fee says: if you cancel on me after I've already set aside time and started work, you owe me a portion of what the job would have cost.

The amount depends on how far along things were:

- If you cancel before I've done anything: you keep the deposit, I keep mine — we're done.
- If you cancel halfway through: you owe me about half the total.
- If you cancel near the end: you owe me most of it.

This is completely normal and professional. Any experienced producer or production company will expect to see a kill fee in your contract. It's not you being difficult. It's you running a business.

Why it matters: Without a kill fee, clients can cancel anytime for any reason and you get nothing — even if the cancellation cost you thousands of dollars in lost work. A kill fee changes that.

WHO OWNS THE FINISHED WORK

This is called intellectual property, or IP. It's the most important thing in the whole contract.

Here's the simple version: when you make something creative — a video, a photo, a design — you automatically own it. That's how copyright law works. The second you shoot the footage, you own that footage.

So for a client to use the video you made for them, you have to give them permission. The contract is how you do that.

There are three main ways to handle this:

Option 1 — Work for Hire. You made it, but it's like you made it for them. They own it. This is the most common arrangement for commercial jobs, branded content, and corporate video. You still get paid your full rate, but once you're paid, the video is theirs.

Option 2 — License. You own it, but you give them permission to use it in a specific way. For example: "You can use this on your website and social media, but not for TV commercials." Everything outside that permission requires a new conversation and probably more money.

Option 3 — Assignment on Payment. You own it until they pay you in full. Once they pay, ownership transfers to them. This is a useful safety net — it means if they stop paying, they can't legally use the video.

A note about raw footage: Unless you specifically agree to deliver raw footage, you keep it. The client gets the finished deliverable — the cut, the grade, the final file. Not the camera cards, not the project files, not the unrendered timeline. If they want those, that's a separate conversation with a separate price.

Why it matters: Without clear IP language, clients sometimes assume they own everything — including footage you shot, edits you didn't deliver, and work you did on other projects. This section makes ownership clear from the start.

REEL RIGHTS

Your reel is your resume. It's how you show future clients what you can do.

Reel rights is your right to use clips from the work you did in your own portfolio. Even if the client owns the video, you can still show a clip of it to say "I made this."

This is standard. Every working professional in film and video expects to be able to show their work. But sometimes clients — especially corporate clients — try to include language that says you can't show anything without their permission. That's too restrictive.

The contract includes a reel rights clause that says: you can use clips and stills in your portfolio and on your reel, for non-commercial purposes, regardless of any other confidentiality agreements.

Non-commercial means you're not selling the clips. You're showing your work to future clients. That's it.

Why it matters: Without reel rights in writing, you could finish a beautiful project, have it win a festival, and not be able to show it to a single future client because you forgot to protect yourself. One sentence in the contract prevents that.

INDEPENDENT CONTRACTOR

This section says you are a freelancer, not an employee.

An employee gets a paycheck, benefits, and a W-2 at the end of the year. Their employer withholds taxes and pays part of their Social Security.

A freelancer gets paid a flat amount and handles their own taxes. You get a 1099 at tax time if a single client paid you more than $600 that year.

The contract says: you're a freelancer. You set your own schedule. You use your own equipment. You can work for other clients at the same time. The client doesn't control how you do the work — only what the final result should be.

Why it matters: Some clients will accidentally (or intentionally) start treating you like an employee — controlling your hours, requiring you to use their equipment exclusively, telling you not to work for anyone else. The independent contractor clause protects your freedom to run your own business.

DOCUMENT 2: THE PROJECT QUOTE / RATE SHEET

What it is: Your estimate. The thing you send before the contract.

When you use it: When a client asks "what would this cost?" or "can you give me a quote?"

THE SIMPLE VERSION

The quote is a document that says: here's what I think the project will cost, based on what you've told me.

It is not a contract. The client doesn't pay you based on the quote. But it starts the conversation in a professional way, and it makes sure both of you are looking at the same number before you sign anything.

WHAT'S IN THE QUOTE

The scope. What are you doing and what are you NOT doing.

This second part — what you're NOT doing — is really important. Clients assume everything is included unless you tell them it isn't.

If you don't tell them that sound mixing is not included, they'll assume you're doing the sound mix. If you don't tell

footage is not included, they'll assume you're handing over a hard drive of 400GB of camera files.

Write down what's NOT included. It's not rude. It's clear.

The line items. A breakdown of what each thing costs.

Day rate for the shoot: $X.

Post-production: $X.

Equipment: $X.

Total: $X.

This level of detail shows you've thought about the project, and it makes it easy for the client to understand where the number comes from.

The expiration date. A quote is only good for 14 days.

This protects you because your availability changes. The number you quoted in January might not be the right number in April if you've gotten busier, raised your rate, or have fewer available days. Putting an expiration date on the quote means you're not locked into a number forever.

THE STORY BEHIND "SCOPE CREEP"

Scope creep is when a project slowly gets bigger than what you agreed to, without anyone officially changing the contract.

It usually sounds like this:

"Can you also do a vertical cut for Instagram? It won't take long."

"We have one more interview we forgot to mention. Can you add it?"

"The client wants to see two more options for the title sequence."

Each individual ask sounds small. But by the time the project is done, you've done 30% more work than you originally priced.

The quote protects you from scope creep by being very specific about what's included. The more specific you are in the quote, the easier it is to say: "That's outside what we quoted. Let me write up a Change Order."

THE OPTIONAL ADD-ON MENU

The quote includes a section for optional add-ons — things the client might want that aren't in the base price.

Vertical cut: $X.

Additional revision round: $X.

Raw footage delivery: $X.

Faster turnaround: $X.

This is smart for two reasons:

First, it answers their question before they ask it. Instead of them coming to you with a request and you having to come up with a number on the spot, you've already thought it through.

Second, it shows them that extra things cost money — calmly and professionally, before they've asked. That makes the conversation easier when they do ask.

DOCUMENT 3: THE CHANGE ORDER FORM

What it is: A form that officially documents any change to the original plan.

When you use it: When a client asks you to do something that wasn't in the original contract.

THE SIMPLE VERSION

A change order is a written record that says: the plan changed, here's what changed, here's what it costs, and we both agree to it.

You need this because projects always change. New ideas come up. Clients realize they forgot something. The scope grows.

Without a change order, extra work gets done, the invoice goes up, and the client says "wait, we didn't agree to that." With a change order, they signed a document before the work started. There's nothing to disagree about.

THE NUMBER ONE RULE OF CHANGE ORDERS

This is the mistake most freelancers make. The client asks for something extra, the freelancer says "sure, no problem," does the work, and then adds it to the invoice. The client sees a higher number than expected and gets upset.

The professional move is: "I'm happy to do that. Let me write up a quick Change Order first so we're on the same page." Then you send the form. They sign it. Then you start.

This takes maybe 10 minutes. It prevents a fight over money later.

WHAT'S IN THE CHANGE ORDER

What the original plan was. A reminder of what was already agreed to. This establishes the baseline so everyone knows where the line is.

What changed. A clear description of what the client is asking for that's different from the original plan.

What it costs. How many extra hours or days this will take, and what the total cost is.

A new deadline, if needed. If the extra work pushes the delivery date back, that gets documented too.

Signatures. Both of you sign it before the work starts.

A REAL EXAMPLE

Imagine you're hired to edit a 60-second commercial. You quote a day rate for two edit days. You both sign the contract.

Three days in, the client says: "Hey, can you also make a 30-second version for the TV spot?"

That is not in the contract. That's a new deliverable. It will take you a few more hours.

You don't say "sure!" and do it. You say: "Absolutely — let me write up a Change Order for that so it's in the paperwork." You fill out the form, you name a price for the extra work, and you send it over.

They sign it. You do the work. They pay for it. No confusion.

WHY CLIENTS ACTUALLY LIKE CHANGE ORDERS

This sounds like it might annoy clients. It doesn't. Here's why:

Professional clients — people who have worked with freelancers before — actually expect Change Orders. It shows that you understand scope management and that you run a tight ship.

The clients who push back on Change Orders are usually the ones who expected to get extra work for free. And now you know that about them early in the project, before things get worse.

DOCUMENT 4: THE INVOICE

What it is: A formal bill.

When you use it: After you've completed work — or at key milestones during a project — to request payment.

THE SIMPLE VERSION

An invoice is a document that says: here is the work I did, here is what it costs, and here is how to pay me.

A professional invoice does three things:

1. Tells the client exactly what they're paying for
2. Creates a written record that you billed for this work
3. Makes it easy for their accounting department to process the payment

That third one matters more than you'd think.

HOW GETTING PAID ACTUALLY WORKS AT A PRODUCTION COMPANY

Here's something most freelancers don't know when they start out:

The person who hired you is almost never the person who pays you.

The producer who booked you, the director who loved your work, the creative director who picked your reel — none of them have a checkbook. There is a separate person called Accounts Payable. That's the person whose job it is to pay bills. And they've never met you.

When your invoice lands in Accounts Payable, they look at it and ask three questions:

1. Do we have a contract or purchase order for this?
2. Does the amount on the invoice match the amount on the contract?
3. Is there a due date and payment instructions?

If the answer to any of those is "no" or "I don't know," your invoice goes into a pile. And that pile doesn't move until someone asks about it.

The professional invoice in this pack is designed to answer all three questions clearly. Invoice number, PO reference, exact amount, exact due date, and payment instructions — all in one place.

THE PURCHASE ORDER NUMBER

This is one of the most practical things in the whole pack.

Before you work with a large production company, agency, or corporate client for the first time, ask them: "Do you have a purchase order number I should reference on my invoice?"

Some companies assign a PO number to every approved spend. If your invoice doesn't include their PO number, their accounting system literally cannot process it. It bounces back. You have to resend it. Add a week or two to when you get paid.

This is such a simple thing to ask, and almost no one does it the first time.

WHAT THE INVOICE INCLUDES

Invoice number. You number your invoices in order: INV-001, INV-002, and so on. This makes it easy to reference specific invoices in follow-up emails ("Invoice #INV-003 is still outstanding").

Invoice date and due date. The date you sent it, and the date it's due. The due date is based on your payment terms — Net 15 means 15 days from today.

Line items. A breakdown of what you did and what it cost. Day rates, equipment, expenses — each on its own line.

Deposit credit. If the client already paid a deposit, you subtract it here and show the remaining balance. This way they can see the total and the amount still due.

Payment instructions. How do they actually send the money? Bank account for a wire transfer, an address for a check, or a payment link. Don't make them guess.

THE LATE FEE

The invoice references the late fee clause from your contract.

If the invoice is past due and they haven't paid, interest starts accruing. The rate is set in the contract — typically 1.5% per month.

Here's the thing about late fees: you may never actually collect them. But having them in the contract changes behavior. When a client knows that waiting costs them money, they process invoices faster.

The late fee is less about the money and more about the signal it sends: you take payment terms seriously.

SEND THE INVOICE THE DAY YOU FINISH

This is the most practical advice in this entire guide:

Send the invoice the day the work is done. Not the next week. Not "when you get a chance." The day of.

Every day you wait is another day you've pushed back your payment date. If your terms are Net 30 and you wait two weeks to send the invoice, you've effectively given yourself Net 44 terms. That's your choice, not theirs.

The work is done. Send the invoice.

DOCUMENT 5: THE EMAIL TEMPLATES

What it is: Five pre-written emails for the five most stressful money conversations in a freelance career.

When you use them: When you need to talk about money and your stomach is telling you not to.

THE SIMPLE VERSION

Most freelancers are good at the work. The camera, the edit, the grade — that's comfortable. The money conversation is the uncomfortable part.

These five emails are designed to make that part easier. They're direct. They're professional. They're not rude. And they don't apologize for things that don't need an apology.

EMAIL 1: TELLING A NEW CLIENT WHAT YOU CHARGE

The situation: Someone reaches out about a project. They want to talk. You need to tell them your rate before things go further.

Why this is hard: Saying your rate out loud (or typing it) feels vulnerable. What if they say it's too high? What if they don't respond?

The fix: Say the number. In the first email. Not on a phone call. Not "it depends." The number.

Here's why this is actually better for everyone:

If your rate is within their budget, they'll say so and you move forward.

If your rate is above their budget, you find out before you spend two hours on phone calls. You both save time.

If they ghost you because of your rate, that's okay. Those are not your clients.

The email template in the pack states your rate clearly in the first message, asks a few quick questions to scope the project, and sets up a quote. That's it. No groveling, no hedging.

EMAIL 2: RAISING YOUR RATE

The situation: You've worked with a client before, and you're raising your rate for new bookings. They need to know before they book you at the old number.

Why this is hard: You've built a relationship with this person. You don't want them to feel surprised. You don't want them to stop working with you.

The fix: Give them advance notice — at least four to six weeks. State the new rate and when it takes effect. Offer to hold the old rate for any projects they book before the effective date.

This is a business communication. It's not personal. You're not asking their permission. You're giving them professional notice, the same way a vendor would.

The template in the pack does this in about five sentences. No multi-paragraph justification. No "I've been thinking about this for a long time." The new rate, the date, and the holdback offer. That's the whole email.

Clients who have worked with you before will respect the professionalism. The ones who react badly are telling you something useful.

EMAIL 3: FOLLOWING UP ON A LATE INVOICE

The situation: An invoice is past due and the client hasn't responded to your first gentle follow-up.

Why this is hard: You don't want to seem difficult. You don't want to damage the relationship. You're worried about sounding like you're demanding money.

The fix: You are asking for money. That is a completely reasonable thing to do. You did work. You were not paid. You are following up.

The email template is four sentences:

- The invoice number and amount
- The due date it passed
- The fact that late fees are now accruing
- A request to confirm payment status

That's it. Short. Specific. Professional. Not angry.

Accounts payable departments respond to specific, documented requests. "Invoice #INV-003 is past due" is a specific request. "Hey, wondering about that payment?" is not. The template is designed to be the kind of email that gets moved to the top of the pile.

EMAIL 4: RESPONDING TO SCOPE CREEP

The situation: A client has asked you to do something that wasn't in the contract. They phrased it casually, as if it was obviously included.

Why this is hard: Saying "that's extra" feels confrontational. You don't want to seem difficult. Maybe it's a small thing. Maybe you should just do it.

The fix: Do not just do it.

Not because you're being stubborn. Because "just doing it" once teaches the client that asking for extras is free. They'll keep asking. By the third or fourth time, you've done a third more work than you were paid for.

The email template says: "Happy to take care of that. That's outside our original scope — let me send over a Change Order before we get started."

That's it. You're not saying no. You're saying yes, and here's the process.

The Change Order form then does the rest. The client sees a price. They decide if they want to proceed. The work starts after they sign.

Most clients respond normally to this. The ones who push back are telling you something important.

EMAIL 5: CONFIRMING A BOOKING AND REQUESTING THE DEPOSIT

The situation: A client says they want to book you. You're excited. But they haven't signed anything yet and haven't paid a deposit. You need both before you hold the dates.

Why this is hard: You want to say yes. You don't want to create friction right when things are going well. And you've probably already started mentally holding the dates in your head.

The fix: Do not hold the dates until the contract is signed and the deposit is received.

This sounds strict. Here's why it's necessary:

Until someone has signed a contract and paid a deposit, they have not committed to anything. They said yes in a conversation. That's different. Things come up. Budgets change. Decisions get reversed.

Meanwhile, you may have turned down other work to protect those dates.

The email template confirms you're excited to work together, attaches the contract and the deposit invoice, gives them a deadline to respond (48–72 hours), and mentions that you have competing inquiries for those dates.

That last part is not a bluff or a pressure tactic. Your time is limited. If you have other clients who might want those days, it's the truth. If you don't, "limited availability" is also fair — you do have a limited number of days to give.

The booking is not confirmed until both things happen. The email says that clearly and professionally.

THE BIGGER PICTURE

Here's the thing all five of these documents have in common:

They treat you like a professional.

Not a gig worker hoping to get paid. Not an artist who's lucky someone is giving them work. A professional —

Most people who undercharge and get taken advantage of don't do it because they're not skilled. They do it because they don't have the paperwork that says: here's how I work.

These five documents are that paperwork.

You don't need to wave them around. You don't need to be aggressive about them. You just send them as a normal part of starting every project:

"Here's my quote. Here's the contract. Here's where to send the deposit."

That's it. One email. Three attachments. And now you're protected.

ONE LAST THING

These documents are templates. You'll customize them for each job. You'll get faster at it as you use them.

The first time you send a contract and a client signs it without a single question, it'll feel strange. Like it was too easy. That's normal. Professional clients expect professional paperwork. They sign it because they're used to signing it.

The first time a project gets cancelled and you collect a kill fee, you'll understand exactly why you took the time to write it down.

These aren't just forms. They're the difference between being a freelancer who gets paid and one who's always chasing it.

Good luck out there.

The Rate Guide Plain English Guide — part of the Freelancer's Contract Pack.

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